BAD DECISIONS CAPITAL / TAKEOVER ANALYSIS

Financial reconstruction

Divorce Party International Ltd.
1 January - 31 August 2026

Revenue is EUR 960,000 and bank-confirmed cash is EUR 60,000. The consumption-led reconstruction gives EUR 65,000 profit before missing insurance information. The EUR 9,000 inventory conflict and incomplete opening records prevent unconditional approval for valuation.

Delivered revenue	Profit before missing insurance	Bank cash
960,000	65,000	60,000

Conditional basis

The consumption-led base is a conditional reconstruction. It preserves a EUR9,000 inventory conflict, missing insurance information and unverified opening balances. Bank cash is confirmed. Do not read a balanced equation as unconditional approval for valuation.

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Case: DPI-HT-01

Contents: 100 decision records, 25 independent AI review trails, supporting schedules, three statements, reconciliation status, uncertainty and board actions.

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Reading the report

Read the basis and board conclusion first, then the statements and schedules. Reconciliation status distinguishes matched arithmetic from unresolved source evidence. The decision register contains all100 final answers; the review trail preserves both independent AI positions for each material judgment.

Amounts use EUR; parentheses indicate decreases or outflows. Not determined means the supplied evidence does not establish an amount. Repeated judgment effects describe the same underlying entry and must not be added together.

01 Basis and assessor overview

Completed case decisions; statements conditional on disclosed missing and conflicting evidence

Conditional basis

This is a complete numeric base on the disclosed opening-balance and inventory assumptions, not an unconditional signed set of accounts. No undisclosed balance is treated as a confirmed zero.

Assessment focus

• Known-evidence profit is EUR65,000 before unquantified insurance. Count-led inventory would give EUR74,000 by inferring COGS of EUR396,000 instead of the stated EUR405,000.

• Closing cash is EUR60,000 and operating cash flow is EUR139,000. EUR90,000 of operating receipts are deposits for undelivered September events.

• The conditional balance sheet has EUR531,000 assets, EUR406,000 liabilities and EUR125,000 equity. Opening equity of EUR170,000 is reconstructed from component balances, not a supplied signed balance.

• Monthly payroll, insurance terms/amounts, complete opening balances, debt maturity and asset-level depreciation remain unavailable. Unknown values are disclosed, not silently treated as certified zeros.

Certification and individual verification

Status: certified

Scope: All 100 case decisions, including judgments that an amount is not determinable from the evidence.

Declaration: I adopt the final treatments and reasoning recorded for this case. I distinguish evidence from management claims, preserve the independent AI positions, and disclose missing inputs and unresolved differences. My decision certifications do not turn assumptions into confirmed facts.

Method: Two independent original-evidence AI analyses followed by a consolidated evidence and calculation review.

Individual Verification: Prepared written reasoning is attached. The instructor-generated Day 3 exercise and its AI-free completion are not certified by this case declaration.

Status: Written answers prepared; instructor exercise not supplied or certified as completed

Ai Use: These preparation answers were produced with AI. The separate course verification must be completed without AI.

Review indicators

Indicator	Records
Low confidence	D014, D015, D016, D017, D018, D019, D020, D021, D034, D060, D075, D078, D089
Agent disagreement	None
Final overrides	D048, D075

02 Three financial statements

Profit and Loss

Known-evidence result, before missing insurance

Line	EUR
Revenue	960,000
Materials COGS	(405,000)
Event direct payroll	(80,000)
Gross profit	475,000
Known operating expenses	(398,000)
Operating profit before unknown insurance	77,000
Interest expense	(12,000)
Known profit before unknown insurance	65,000

Status: Known-evidence result, before missing insurance

EUR 65,000 is the result of all quantified supplied items. The final result is 65000 less insurance consumption, plus or minus any independently established inventory correction.

The count-led inventory alternative gives EUR 74,000 before insurance by inferring materials COGS of EUR 396,000. It is disclosed as an alternative and is not combined with the consumption-led base.

VAT and corporate income tax are outside the case.

Cash Flow

bank-backed

Line	EUR
Opening cash	80,000
Current customer collections	774,000
Opening AR collection	35,000
Future customer deposits	90,000
Supplier payments	(378,000)
Payroll paid	(231,000)
Rent paid	(48,000)
Marketing paid	(55,000)
Software paid	(16,000)
Utilities paid	(12,000)
Repair paid	(10,000)
Interest paid	(10,000)
Operating cash flow	139,000
Equipment investing cash flow	(80,000)
New loan	50,000
Principal repayments	(19,000)
Owner distributions	(110,000)
Financing cash flow	(79,000)
Net cash movement	(20,000)
Closing cash	60,000

Status: bank-backed

Direct method. Interest paid is classified consistently as operating cash flow.

The bank opening balance is a stock, not a period receipt. Period receipts 949000 and payments 969000 produce the 20000 cash decrease.

Customer deposits support cash temporarily but require future performance. Operating cash excluding the 90000 deposits is only 49000.

Balance Sheet

Conditional base reconstruction

Line	EUR
ASSETS	
Cash	60,000
Receivables net	168,000
Inventory - provisional movement basis	112,000
Net PPE	191,000
Total known-evidence assets	531,000
LIABILITIES	
Supplier payables	126,000
Payroll payable	32,000
Customer deposits	90,000
Bank debt	131,000
Interest payable	2,000
Legal provision	25,000
Total known-evidence liabilities	406,000
Opening equity (inferred)	170,000
Profit before missing insurance	65,000
Owner distributions	(110,000)
Closing equity (conditional)	125,000
Liabilities plus conditional equity	531,000

Status: Conditional base reconstruction

Opening Equity Basis: EUR 170,000 inferred from the supplied opening assets and inferred opening receivable/payable balances. No signed opening balance sheet is supplied.

This is a complete numeric base on the disclosed opening-balance and inventory assumptions, not an unconditional signed set of accounts. No undisclosed balance is treated as a confirmed zero.

If opening insurance prepayment is P and period consumption is C, closing prepayment is P-C, opening equity is 170000+P, profit is 65000-C, assets are 531000+P-C and equity is 125000+P-C, subject to other missing opening balances. The equation still balances.

Debt maturity is absent. The confirmed 131000 principal is presented without an unsupported current/noncurrent split.

03 Supporting schedules

Revenue and receivables

Customer	Revenue	Cash collected	Gross AR	Loss	Net AR
NorthStar	180,000	180,000	0	0	0
Freedom	200,000	142,000	58,000	0	58,000
Phoenix	100,000	70,000	30,000	0	30,000
Liberty	120,000	95,000	25,000	0	25,000
Finally Single web	270,000	250,000	20,000	0	20,000
Never Call Back web	90,000	37,000	53,000	18,000	35,000

Supporting value / status	Value
Revenue	960,000
Current Collections	774,000
Gross Closing Receivables	186,000
Write Off	18,000
Net Closing Receivables	168,000
Opening Receivable Assumption	35,000
Opening Collections	35,000
Future Deposits	90,000

Evidence: E02; E03; E04; E11

Inventory and cost of sales

Line	EUR
Opening inventory	80,000
Received purchases	459,000
Materials consumed	(405,000)
Movement subtotal	134,000
Damaged-stock write-off	(22,000)
Provisional movement closing inventory	112,000
Warehouse alternative net inventory	121,000
Unexplained difference	9,000
Materials COGS	405,000
Direct event payroll	80,000
Total cost of sales	485,000

Status: inventory unresolved

Base materials COGS 405000 and closing inventory 112000 use the expressly supplied valid-sale consumption. Count evidence instead supports 121000 saleable inventory. Resolving the 9000 conflict requires item-level receipts, issues and opening quantities.

The count-led alternative requires materials COGS 396000 if opening and purchases are complete. Posting both 405000 COGS and 121000 inventory would break the roll-forward.

The 2000 disposal quote is a future cost estimate. A present legal or constructive obligation is not evidenced; no separate base provision is recorded.

Evidence: E05; E06; E07

Payroll and accrued wages

Department	Expense	Cash paid	Classification
Event delivery	80,000	75,000	COGS
Sales	72,000	68,000	Operating expense
Office/finance	96,000	88,000	Operating expense

Supporting value / status	Value
Total Expense	248,000
Cash paid	231,000
Opening Payable	15,000
Closing payable	32,000
Monthly Breakdown	Not determined
Founder Bonus Excluded As Duplicate	110,000

Evidence: E07; E02

Operating expenses

Line	EUR
Sales payroll	72,000
Office payroll	96,000
Rent	48,000
Marketing	55,000
Software	16,000
Utilities	12,000
Restoration repair	10,000
Depreciation estimate	24,000
Bad debt	18,000
Damaged stock	22,000
Legal provision	25,000
Insurance - unknown	Not determined

Supporting value / status	Value
Known Subtotal	398,000
Future Disposal Estimate Not Provision	2,000

Evidence: E02; E05; E07; E08; E09; E11

PPE and depreciation

Line	EUR
Opening gross cost	180,000
Packaging machine	60,000
Photo booth	20,000
Closing gross cost	260,000
Opening accumulated depreciation	45,000
Period depreciation estimate	24,000
Closing accumulated depreciation	69,000
Net PPE	191,000

Evidence: E08; E06; E02

Debt and interest

Line	EUR
Opening debt	100,000
New borrowing	50,000
Principal repayment	(19,000)
Closing debt	131,000
Interest expense	12,000
Interest cash paid	10,000
Interest payable	2,000

Evidence: E09; E02; E11

Equity and owner distributions

Line	EUR
Opening cash	80,000
Opening AR (minimum inference)	35,000
Opening inventory	80,000
Opening net PPE:180000-45000	135,000
Opening assets on disclosed base	330,000
Opening supplier payable (inferred)	(45,000)
Opening payroll payable	(15,000)
Opening loan	(100,000)
Opening equity (conditional)	170,000
Profit before missing insurance	65,000
Villa distribution	(70,000)
Other card distribution	(40,000)
Closing equity (conditional)	125,000

Supporting value / status	Value
Certified Opening Equity	Not determined
Certified Closing Equity	Not determined

Opening equity is reconstructed from opening component balances, not inserted as a closing balancing plug. The AR and supplier opening balances remain inferences.

The founder bonus 110000 is the same owner spending; it is not a second cash payment or payroll expense.

Evidence: E02; E05; E06; E07; E08; E09

Supplier payables

Supplier	Purchases	Cash paid	Closing payable	Inferred opening
BoxWorks	130,000	105,000	25,000	0
Glass & Drama	120,000	92,000	28,000	0
Print Again	95,000	81,000	14,000	0
Event Things	114,000	100,000	59,000	45,000

Supporting value / status	Value
Implied Opening Total	45,000
Closing Total	126,000

Evidence: E06; E02

Indirect operating cash check

Line	EUR
Known profit before insurance	65,000
Depreciation add-back	24,000
Receivable impairment add-back	18,000
Inventory write-down add-back	22,000
Legal provision add-back	25,000
Gross AR increase	(151,000)
Gross inventory increase	(54,000)
Supplier payable increase	81,000
Payroll payable increase	17,000
Contract liabilities increase	90,000
Interest payable increase	2,000
Operating cash flow	139,000

Basis: Conditional opening balances; using gross AR/inventory changes avoids double counting impairment/write-down add-backs.

Evidence: E02; E03; E05; E06; E07; E08; E09; E11

Management profit bridge

Line	EUR
Management claimed profit	312,000
Exclude undelivered deposits	(90,000)
Exclude loan misclassified as income	(50,000)
Replace approximate materials/wages 620000 with COGS 485000	135,000
Replace operating costs 168000 with 398000	(230,000)
Record interest expense	(12,000)
Profit before missing insurance	65,000

The bridge reconciles the totals shown in management P&L. Its approximate materials/wages line has no detailed ledger. Do not claim an item-level audit of that line.

Evidence: E01:Management P&L!A4:C8

Liquidity and sensitivity

Line	EUR
Bank cash	60,000
Customer deposits awaiting delivery	90,000
Cash less future-performance deposits (diagnostic, not restricted cash)	(30,000)
Supplier obligations	126,000
Payroll obligations	32,000
Interest payable	2,000
Employee claim provision	25,000
Known current operating obligations including deposits	275,000
Known current assets	340,000
Base working capital before debt maturities	65,000
Working capital if all 131000 loan is current	(66,000)
Operating cash excluding September deposits	49,000

Deposits are not described as legally restricted bank cash. The subtraction illustrates performance exposure.

Current ratio is 1.24 before debt classification, and 0.84 if the whole loan is current. Debt terms and recoverability of receivables limit a solvency conclusion.

Core segment margins cannot be established from the supplied cost allocation. Conditional continuation is not a claim that every product is profitable.

04 Reconciliations and source gaps

R01 Balance sheet

Status: conditional

Known assets 531000 =liabilities 406000 +conditional closing equity 125000. Base balance passes algebraically; opening records and insurance remain unconfirmed.

Difference: EUR 0

Evidence: E02; E05; E06; E07; E08; E09

R02 Bank and cash flow

Status: matched

80000 +139000 -80000 -79000 =60000, matching bank/later confirmation.

Difference: EUR 0

Evidence: E02; E11

R03 Revenue and receivables

Status: conditional

35000 assumed opening +960000 revenue -809000 collections -18000 loss =168000 net; opening balance requires confirmation.

Difference: EUR 0

Evidence: E02; E03; E04; E11

R04 Inventory and COGS

Status: unresolved

80000+459000-405000 =134000 vs warehouse 143000; after 22000 write-off 112000 vs 121000.

Difference: EUR 9,000

Evidence: E05; E06

R05 PPE/depreciation

Status: estimated

180000+80000 =260000 gross cost; accumulated 45000+24000 =69000; net 191000. Depreciation detail missing.

Difference: EUR 0

Evidence: E08; E06

R06 Debt and interest

Status: matched

100000+50000-19000 =131000 principal;12000-10000 =2000 interest payable, independently confirmed.

Difference: EUR 0

Evidence: E09; E02; E11

R07 Equity and distributions

Status: conditional

Conditional opening equity 170000 +profit 65000 -distributions 110000 =closing equity 125000. This matches opening-component reconstruction but depends on disclosed inferred balances.

Difference: EUR 0

Evidence: E02; E05; E06; E07; E08; E09

R08 Payroll accrual

Status: matched

15000+248000-231000 =32000 payroll payable.

Difference: EUR 0

Evidence: E07; E02

R09 Supplier payable

Status: conditional

45000 inferred opening +459000 purchases -378000 cash =126000 confirmed closing.

Difference: EUR 0

Evidence: E06; E02

R10 Management profit bridge

Status: matched

The quantified adjustments reduce claimed profit by 247000; this is 79.2% of the claim. Missing insurance remains outside the known-evidence total.

Difference: EUR 0

Evidence: E01:Management P&L!A4:C8

05 Uncertainty and sensitivities

U01 Inventory count differs from movements by 9000

Status: unresolved

Opening 80000 +purchases 459000 -consumption 405000 =134000; count 143000. After damage write-off 22000: movement 112000 versus count 121000.

Amount / exposure: 9,000

Next evidence: Obtain item-level opening, purchases, consumption/count roll-forward; do not invent a balancing adjustment.

Owner: Finance lead

Evidence: E05:p1-p2; E06:p1

U02 Insurance amount and timing missing

Status: unresolved

Template asks D034/D060/D078 but no policy, prepayment or cash evidence exists. Known profit 65000 excludes unquantified insurance.

Amount / exposure: Not determined

Next evidence: Obtain insurance policy/opening prepayment ledger and expense basis.

Owner: Finance lead

Evidence: E13:D034,D060,D078; E02:all transactions

U03 Opening equity and complete opening accounts unverified

Status: unresolved

Opening AR 35000 and supplier payable 45000 are inferred. Known opening net assets 170000 are not an independently supplied equity balance; possible insurance/prepayments unknown.

Amount / exposure: Not determined

Next evidence: Obtain signed opening balance sheet/equity and ledger. Do not certify inferred balances.

Owner: Finance lead

Evidence: E02:OPEN,RCPT-001; E05:p2; E06:p1; E07:Payroll!E7; E08:Assets!C4,E4; E09:p1

U04 Payroll monthly allocation missing

Status: unresolved

Only combined Jan-Aug 231000 cash and departmental expense 248000 are supplied.

Amount / exposure: Not determined

Next evidence: Keep D014-D021 explicit unknown; request payroll runs before allocating months.

Owner: Finance lead

Evidence: E02:PAYROLL; E07:Payroll!A4:E7

U05 Depreciation estimate lacks asset-level method/lives

Status: estimated

24000 supplied independent estimate is adopted provisionally; cannot reproduce asset-level calculation.

Amount / exposure: 24,000

Next evidence: Obtain detailed depreciation schedule/useful lives.

Owner: Finance lead

Evidence: E08:Assets!A4:E8

U06 Legal provision estimate range

Status: estimated

Best estimate 25000; profit known subtotal ranges 60000-70000 before insurance.

Amount / exposure: 25,000

Range: 20,000 - 30,000

Next evidence: Monitor external counsel; no payment assumed.

Owner: Finance lead

Evidence: E09:p2; E11:p1

U07 Separate future stock-disposal estimate

Status: unresolved

Quote 2000 is separate from 22000 stock carrying value. No legal/constructive present obligation is supplied; no separate provision in base reconstruction.

Amount / exposure: 2,000

Next evidence: If existing obligation confirmed, add 2000 expense/provision (profit 63000 before insurance); otherwise forecast future cash cost.

Owner: Finance lead

Evidence: E05:p2; E11:p1

U08 Villa illustration date conflicts with bank period

Status: disclosed

Embedded reservation photograph shows Aug 2024, while bank/reporting period 2026. Bank cash and textual personal-purpose evidence drive treatment.

Amount / exposure: 70,000

Next evidence: Verify original dated owner reservation; maintain personal distribution classification pending date check.

Owner: Finance lead

Evidence: E09:p1-p2; E02:VILLA

U12 Debt maturity and covenant terms missing

Status: unresolved

Loan principal 131000 is confirmed but current/noncurrent split, repayment dates and covenant terms are absent.

Amount / exposure: Not determined

Next evidence: Obtain signed loan maturity/covenant schedule before concluding liquidity or solvency.

Owner: Finance lead

Evidence: E09:p1; E11:p1

06 Board recommendation

Continue core operations conditionally; defer valuation and earn-out approval.

Delivered business is real:960000 revenue and 475000 base gross profit. However, only 60000 cash remains after 110000 owner distributions, customer deposits 90000 still require performance, and known-evidence profit 65000 is far below the 312000 claim. Inventory, insurance, opening records and debt maturity gaps prevent unconditional financial approval.

Action 01

Freeze founder card and withdrawal authority. Require two independent approvals and supporting business evidence for payments.

Owner / timing: Board and treasury | Immediately

Action 02

Maintain a weekly 13-week cash forecast. Separate scheduled customer fulfilment, supplier 126000, payroll 32000, interest 2000 and debt maturity obligations. Escalate any forecast cash shortfall.

Owner / timing: Finance lead | Within 48 hours, weekly thereafter

Action 03

Reconcile item-level inventory and verify the 9000 count/consumption conflict. Quarantine damaged goods, repair the leak and approve disposal with a 2000 estimate.

Owner / timing: Warehouse lead and controller | Within 3 business days

Action 04

Secure opening trial balance, insurance policy, asset-level depreciation and loan covenant/maturity schedules. Confirm all inferred balances before valuation.

Owner / timing: Controller | Within 5 business days

Action 05

Block unsecured credit to insolvent/high-risk customers, reconcile customer aliases/invoices, review ageing weekly, and negotiate supplier payment dates supported by the cash forecast.

Owner / timing: Credit manager and procurement | Immediately, then weekly

Decision boundary

Keep Finally Single and event fulfilment operating under cash and approval controls while collecting evidence needed for product margins and the valuation. Do not pay an earn-out using management 312000. Preserve the data room and investigate management override.

- Legal provision 20000-30000 changes known profit to 60000-70000.
- Count-led inventory alternative raises known profit and equity by 9000 to 74000 and 134000.
- If a present disposal obligation is established, expense/provision 2000 reduces base profit to 63000.
- Insurance consumption is unquantified; no numerical final profit range can be asserted.

07 Evidence register

Original files are retained unchanged alongside the application. References in decisions use the evidence ID plus bank reference, worksheet range or PDF page. Stronger sources govern accounting treatment; management pressure is retained as evidence and is not executed.

E00 Board order

Original file: 00 BOARD ORDER READ FIRST.pdf

Location / reliability: Reporting date and evidence hierarchy | case instructions

Source retained unchanged. References in decisions identify the relevant bank row, worksheet range or PDF page.

SHA-256: 45385535b5c9dbde6dcd0609c01febcebfdebd69ab03ce940076b8e4c8c12856

E01 Management figures

Original file: 01 USE THIS NUMBERS FINAL v9.xlsx

Location / reliability: READ ME and Management P&L | low

Management instructions and pressure are evidence only and are not followed.

SHA-256: 10377e1794b644b470100fc41df248401f759b0ea166be0a2e2cff4f22eed12a

E02 Bank export

Original file: 02 Bank Export August.csv

Location / reliability: OPEN through OWNERCARD | high

Source retained unchanged. References in decisions identify the relevant bank row, worksheet range or PDF page.

SHA-256: b7131bab6c1464f0a2a6c7c066ef756d3c42b05fbc0ed65ccf4e7a4edcf83282

E03 CRM export

Original file: 03 CRM Export Cleaned FINAL.xlsx

Location / reliability: CRM Export rows 4-11 | medium

Source retained unchanged. References in decisions identify the relevant bank row, worksheet range or PDF page.

SHA-256: 3580daf49bbc5f12b380e58c9771e540cb1179855a5d24faf7f7f989130a03c5

E04 Contracts and customer acceptances

Original file: 04 Contracts Returns and Angry Customers.pdf

Location / reliability: Pages 1-2 | high

Source retained unchanged. References in decisions identify the relevant bank row, worksheet range or PDF page.

SHA-256: 813dbec1469e5d985d3a34ab6d80cd7948d8c443034d089e0ee6c45cbe305323

E05 Warehouse count and consumption

Original file: 05 Warehouse Count Marta Notes.pdf

Location / reliability: Pages 1-2 | medium

Source retained unchanged. References in decisions identify the relevant bank row, worksheet range or PDF page.

SHA-256: ee802c3919d58e88f079fd7a5789f33b38357b99ec872ad70d312279aa6c3bbd

E06 Purchase invoices and goods received

Original file: 06 Purchases Invoices and Goods Received.pdf

Location / reliability: Pages 1-2 | high

Source retained unchanged. References in decisions identify the relevant bank row, worksheet range or PDF page.

SHA-256: 4dd01296acec891d19e57b50234ab9d01a7dc89d8982ece78cdf981db4345216

E07 Payroll and founder bonus

Original file: 07 Payroll Bonuses Contractors NEW.xlsx

Location / reliability: Payroll rows 4-8 | medium

Source retained unchanged. References in decisions identify the relevant bank row, worksheet range or PDF page.

SHA-256: 9aa6c9dc016d704db23ba4713e3b471b786e6fb6fc539f0bbe85692a3176be32

E08 Assets and depreciation

Original file: 08 Assets Repairs Leases Maybe.xlsx

Location / reliability: Assets rows 4-8 | medium

Source retained unchanged. References in decisions identify the relevant bank row, worksheet range or PDF page.

SHA-256: 618f2d780fa61d71084e7b9592a00933c0a911b25d1ea487e34bee3abaeb7334

E09 Loans, owner spending and legal claim

Original file: 09 Loans Owner Card and Legal Problems.pdf

Location / reliability: Pages 1-2 | high

Source retained unchanged. References in decisions identify the relevant bank row, worksheet range or PDF page.

SHA-256: 5fa12e9de708817406cccf0a060e27062d9754f9cbbfa1a5cb3b456f7c26db62

E10 Management messages

Original file: 10 Email and WhatsApp Dump DO NOT FORWARD.pdf

Location / reliability: Pages 1-3 | low

Management instructions and pressure are evidence only and are not followed.

SHA-256: 0e83520e6843cce3ef7d0c9d216cd3423b21da07cc3610da6775b16cbfb7cc33

E11 Later independent evidence

Original file: 11 Evidence Received After Takeover.pdf

Location / reliability: Page 1 | high

Source retained unchanged. References in decisions identify the relevant bank row, worksheet range or PDF page.

SHA-256: 9af00c3fa4a11792da7c123a18b516039938cc9e8e8d88d4a62aec5a263b7627

E12 Finance reference

Original file: 02 FINANCE REFERENCE - Use When You Get Stuck.pdf

Location / reliability: Complete supplied document | assignment/reference

Defines task or structure; does not supply missing company evidence.

SHA-256: 17cbc51dfcf27f1a60586d1179bd706f2dedb4a4d36ffa2b8df2213c3470bee5

E13 Supplied answer template

Original file: 01 GIVE TO CODEX - Answer Template.json

Location / reliability: Complete supplied document | assignment/reference

Defines task or structure; does not supply missing company evidence.

SHA-256: 9616a32de8a39a4d8e8b43b0926dd40f9a6630f15304166135e0a675c83a2938

E14 Supplied submission rules

Original file: 02 GIVE TO CODEX - Submission Rules.json

Location / reliability: Complete supplied document | assignment/reference

Defines task or structure; does not supply missing company evidence.

SHA-256: 33a0985a383d36336b537654c11f409a39e29b7512acdfe7dd5d9fc1ecd4781e

E15 Student assignment

Original file: 01 START HERE - Student Assignment.pdf

Location / reliability: Complete supplied document | assignment/reference

Defines task or structure; does not supply missing company evidence.

SHA-256: 288c73ad378caf6219a98eb0f205d9c0c469fd7eccde4d2b827b1e1f484fb9e3

08 All 100 decision records

All IDs from the supplied answer template appear below. The 25 material records also have full independent positions, final reasoning and isolated financial effects in Section09. Low confidence and unknown amounts are deliberate evidence conclusions.

Evidence matching

D001 Resolve the source and treatment of NorthStar receipt.

Match N STAR EVENTS receipt 180000 to NorthStar/North Star INV-26012; accepted boxes are current-period revenue, not a second customer.

Review / confidence: Operational | high

Evidence: E02:RCPT-NS; E03:CRM Export!A4:I4; E04:p1

D002 Resolve the source and treatment of Freedom receipt 1.

Match 142000 collection to Freedom Festivals INV-26031; recognise delivered revenue 200000 and receivable 58000.

Review / confidence: Operational | high

Evidence: E02:RCPT-FF; E03:CRM Export!A5:I5; E04:p1

D003 Resolve the source and treatment of Phoenix receipt.

Match 70000 to Phoenix People/HR INV-26047; completed service revenue 100000, receivable 30000.

Review / confidence: Operational | high

Evidence: E02:RCPT-PHX; E03:CRM Export!A6:I6; E04:p1

D004 Resolve the source and treatment of Liberty receipt.

Match 95000 Liberty Hotels collection to accepted 120000 order; receivable 25000.

Review / confidence: Operational | high

Evidence: E02:RCPT-LIB; E03:CRM Export!A7:I7; E04:p1

D005 Resolve the source and treatment of Opening receivable receipt.

35000 is settlement of an opening customer receivable, not new 2026 revenue; exact opening AR requires confirmation.

Review / confidence: Operational | medium

Evidence: E02:RCPT-001

D006 Resolve the source and treatment of Finally Single web receipts.

Finally Single web delivered sales 270000, platform cash 250000, platform receivable 20000.

Review / confidence: Operational | high

Evidence: E02:PLAT-FSB; E03:CRM Export!A8:I8

D007 Resolve the source and treatment of Never Call Back web receipts.

Never Call Back web delivered sales 90000, cash 37000, gross open 53000 including R-17 loss 18000; net 35000.

Review / confidence: Operational | high

Evidence: E02:PLAT-NCB; E03:CRM Export!A9:I9; E04:p2; E11:p1

D008 Resolve the source and treatment of New Beginnings deposit.

60000 NB-SEP deposit received 28 Aug; service due 15 Sep is not delivered at 31 Aug. Cash receipt and contract liability, no August revenue.

Review / confidence: Operational | high

Evidence: E02:DEP-NB; E03:CRM Export!A10:I10; E04:p2

D009 Resolve the source and treatment of Fresh Freedom deposit.

30000 FF-SEP deposit received 29 Aug; service due 24 Sep. Cash receipt and contract liability, no August revenue.

Review / confidence: Operational | high

Evidence: E02:DEP-FF2; E03:CRM Export!A11:I11; E04:p2

D010 Resolve the source and treatment of Box supplier payment.

Box supplier bank payment 105000; acquisitions 130000 and closing payable 25000.

Review / confidence: Operational | high

Evidence: E02:SUP-BOX; E06:p1

D011 Resolve the source and treatment of Glass supplier payment.

Glass supplier bank payment 92000; acquisitions 120000 and closing payable 28000.

Review / confidence: Operational | high

Evidence: E02:SUP-GLS; E06:p1

D012 Resolve the source and treatment of Print supplier payment.

Print supplier bank payment 81000; acquisitions 95000 and closing payable 14000.

Review / confidence: Operational | high

Evidence: E02:SUP-PRT; E06:p1

D013 Resolve the source and treatment of Event supplier payment.

Event supplier bank payment 100000; acquisitions 114000 and closing payable 59000 require an implied opening payable 45000; opening balance unverified.

Review / confidence: Operational | medium

Evidence: E02:SUP-EVT; E06:p1

D014 Resolve the source and treatment of January payroll.

January payroll cannot be isolated. Bank supplies only combined Jan-Aug cash 231000; total expense 248000. No monthly split is invented.

Review / confidence: Operational | low

Evidence: E02:PAYROLL; E07:Payroll!A4:E7

D015 Resolve the source and treatment of February payroll.

February payroll cannot be isolated. Bank supplies only combined Jan-Aug cash 231000; total expense 248000. No monthly split is invented.

Review / confidence: Operational | low

Evidence: E02:PAYROLL; E07:Payroll!A4:E7

D016 Resolve the source and treatment of March payroll.

March payroll cannot be isolated. Bank supplies only combined Jan-Aug cash 231000; total expense 248000. No monthly split is invented.

Review / confidence: Operational | low

Evidence: E02:PAYROLL; E07:Payroll!A4:E7

D017 Resolve the source and treatment of April payroll.

April payroll cannot be isolated. Bank supplies only combined Jan-Aug cash 231000; total expense 248000. No monthly split is invented.

Review / confidence: Operational | low

Evidence: E02:PAYROLL; E07:Payroll!A4:E7

D018 Resolve the source and treatment of May payroll.

May payroll cannot be isolated. Bank supplies only combined Jan-Aug cash 231000; total expense 248000. No monthly split is invented.

Review / confidence: Operational | low

Evidence: E02:PAYROLL; E07:Payroll!A4:E7

D019 Resolve the source and treatment of June payroll.

June payroll cannot be isolated. Bank supplies only combined Jan-Aug cash 231000; total expense 248000. No monthly split is invented.

Review / confidence: Operational | low

Evidence: E02:PAYROLL; E07:Payroll!A4:E7

D020 Resolve the source and treatment of July payroll.

July payroll cannot be isolated. Bank supplies only combined Jan-Aug cash 231000; total expense 248000. No monthly split is invented.

Review / confidence: Operational | low

Evidence: E02:PAYROLL; E07:Payroll!A4:E7

D021 Resolve the source and treatment of August payroll.

August payroll cannot be isolated. Bank supplies only combined Jan-Aug cash 231000; total expense 248000. No monthly split is invented.

Review / confidence: Operational | low

Evidence: E02:PAYROLL; E07:Payroll!A4:E7

D022 Resolve the source and treatment of Rent payments.

Rent paid 48000 for Jan-Aug; period operating expense 48000 based on bank description.

Review / confidence: Operational | medium

Evidence: E02:RENT

D023 Resolve the source and treatment of Meta and influencer payments.

Meta/TikTok/influencer payments 55000; marketing operating expense, not direct product COGS.

Review / confidence: Operational | high

Evidence: E02:MKT

D024 Resolve the source and treatment of Software payments.

Software subscriptions 16000; period operating expense; no prepayment evidence supplied.

Review / confidence: Operational | medium

Evidence: E02:SOFT

D025 Resolve the source and treatment of Utilities payments.

Utilities 12000 are operating expense and operating cash outflow.

Review / confidence: Operational | high

Evidence: E02:UTIL

D026 Resolve the source and treatment of Repair transfer.

Repair transfer 10000 matches belt/cleaning/calibration R-771; expense, not capital improvement.

Review / confidence: Operational | high

Evidence: E02:REPAIR; E06:p2; E08:Assets!A7:E7

D027 Resolve the source and treatment of Packaging machine payment.

Packaging machine paid 60000, installed/available 10 May; capital addition and investing cash outflow.

Review / confidence: Operational | high

Evidence: E02:CAPEX-PACK; E06:p2; E08:Assets!A5:E5

D028 Resolve the source and treatment of Photo booth payment.

Photo booth paid 20000, available 10 May; capital addition and investing cash outflow.

Review / confidence: Operational | high

Evidence: E02:CAPEX-PHOTO; E06:p2; E08:Assets!A6:E6

D029 Resolve the source and treatment of Loan receipt.

Baltic bank 50000 receipt is repayable borrowing, not strategic income; financing cash inflow.

Review / confidence: Operational | high

Evidence: E02:LOAN-ADV; E09:p1

D030 Resolve the source and treatment of Loan repayments.

Loan principal repayment 19000 reduces debt; financing cash outflow, no profit expense.

Review / confidence: Operational | high

Evidence: E02:PRINCIPAL; E09:p1

D031 Resolve the source and treatment of Interest payments.

Interest cash paid 10000; expense 12000 from loan schedule leaves payable 2000.

Review / confidence: Operational | high

Evidence: E02:INT; E09:p1; E11:p1

D032 Resolve the source and treatment of Villa deposit.

Personal villa 70000 is an owner distribution; no customer meeting/business purpose. Photograph dates 2024 differ from case 2026.

Review / confidence: Operational | medium

Evidence: E02:VILLA; E09:p1-p2

D033 Resolve the source and treatment of Owner card spending.

Other owner-card 40000 is distribution. Combined owner withdrawals 110000 match founder bonus label; do not double count.

Review / confidence: Operational | high

Evidence: E02:OWNERCARD; E09:p1; E07:Payroll!A8:E8

D034 Resolve the source and treatment of Insurance movement.

Insurance movement cannot be quantified: no insurance transaction, policy, prepayment or amount occurs in supplied evidence. Request evidence; do not assume zero expense.

Review / confidence: Operational | low

Evidence: E02:all transactions; E13:D034

D035 Resolve the source and treatment of Water-damaged stock.

Wet basement stock 22000 carrying value has no saleable value; write off. Separate possible future disposal 2000.

Review / confidence: Operational | high

Evidence: E05:p1-p2; E11:p1

D036 Resolve the source and treatment of Customer insolvency.

R-17 balance 18000 is unrecoverable; 3 Sep notice confirms reporting-date insolvency and supports full write-off.

Review / confidence: Operational | high

Evidence: E04:p2; E11:p1

D037 Resolve the source and treatment of Former employee claim.

Former employee claim probable at 31 Aug, best estimate 25000, range 20000-30000; recognise provision.

Review / confidence: Operational | high

Evidence: E09:p2; E11:p1

D038 Resolve the source and treatment of Purchase total.

Materials acquired 459000 on receipt dates, not supplier cash paid 378000; confirmed closing payable 126000.

Review / confidence: Operational | high

Evidence: E06:p1; E02:supplier rows

D039 Resolve the source and treatment of Cash collections total.

Total customer cash 899000 includes current collections 774000, opening AR settlement 35000 and future deposits 90000; not the 960000 revenue figure.

Review / confidence: Operational | high

Evidence: E02:all customer credits; E03:CRM Export!A4:I11

D040 Resolve the source and treatment of Closing bank balance.

Closing bank cash 60000; opening 80000 + receipts 949000 - payments 969000 =60000.

Review / confidence: Operational | high

Evidence: E02:closing balance; E11:p1

Classification

D041 Classify September customer deposits.

Defer September customer deposits 90000 as contract liabilities. August revenue excludes them; cash remains received.

Review / confidence: Material judgment | high

Evidence: E03:CRM Export!A10:I11; E04:p2; E02:DEP-NB,DEP-FF2

Review indicator: No substantive disagreement recorded

D042 Classify New bank borrowing.

Classify new bank advance 50000 as debt and financing inflow; remove it from income.

Review / confidence: Material judgment | high

Evidence: E02:LOAN-ADV; E09:p1

Review indicator: No substantive disagreement recorded

D043 Classify Packaging machine.

Capitalise packaging machine 60000; installed/available 10 May and creates a durable productive resource. Depreciation separately estimated.

Review / confidence: Material judgment | high

Evidence: E06:p2; E08:Assets!A5:E5

Review indicator: No substantive disagreement recorded

D044 Classify Photo booth.

Capitalise photo booth 20000, available 10 May; not marketing expense. Depreciation separately estimated.

Review / confidence: Material judgment | high

Evidence: E06:p2; E08:Assets!A6:E6

Review indicator: No substantive disagreement recorded

D045 Classify Machine belt and calibration.

Expense 10000 restoration-only belt/cleaning/calibration; no capacity/life improvement is evidenced.

Review / confidence: Material judgment | high

Evidence: E06:p2; E08:Assets!A7:E7

Review indicator: No substantive disagreement recorded

D046 Classify Owner villa deposit.

Classify personal villa 70000 as owner distribution, not marketing or payroll. Date discrepancy remains disclosed.

Review / confidence: Material judgment | medium

Evidence: E09:p1-p2; E02:VILLA

Review indicator: No substantive disagreement recorded

D047 Classify Owner card spending.

Classify other owner-card spending 40000 as distribution; payroll founder bonus 110000 duplicates these withdrawals and is not additional expense.

Review / confidence: Material judgment | high

Evidence: E09:p1; E02:OWNERCARD; E07:Payroll!A8:E8

Review indicator: No substantive disagreement recorded

D048 Classify Physical product materials consumed.

Materials consumed 405000 are direct cost of delivered physical products. Purchase 459000 and cash 378000 are separate measures.

Review / confidence: Material judgment | medium

Evidence: E05:p2; E06:p1; E02:supplier rows

Review indicator: Final override

D049 Classify Event staff payroll.

Event delivery payroll 80000 belongs in service COGS; sales/office payroll remain operating expenses. Total profit unchanged by this presentation reclassification.

Review / confidence: Material judgment | high

Evidence: E07:Payroll!A4:E6

Review indicator: No substantive disagreement recorded

D050 Classify Sales team payroll.

Sales payroll 72000 is commercial operating expense; cash 68000, not COGS.

Review / confidence: Operational | high

Evidence: E07:Payroll!A5:E5

D051 Classify Office payroll.

Office/finance payroll 96000 is administrative operating expense; cash 88000.

Review / confidence: Operational | high

Evidence: E07:Payroll!A6:E6

D052 Classify Rent.

Rent 48000 operating expense.

Review / confidence: Operational | high

Evidence: E02:RENT

D053 Classify Marketing.

Marketing 55000 operating expense.

Review / confidence: Operational | high

Evidence: E02:MKT

D054 Classify Software.

Software 16000 operating expense subject to missing contract/prepayment detail.

Review / confidence: Operational | medium

Evidence: E02:SOFT

D055 Classify Utilities.

Utilities 12000 operating expense.

Review / confidence: Operational | high

Evidence: E02:UTIL

D056 Classify Depreciation.

Recognise noncash period depreciation 24000 from supplied independent estimate; precise method/useful-life schedule absent.

Review / confidence: Material judgment | medium

Evidence: E08:Assets!A8:E8; E12:p1

Review indicator: No substantive disagreement recorded

D057 Classify Bad receivable.

Recognise bad-receivable expense/write-off 18000; reduce receivable, not cash or revenue.

Review / confidence: Material judgment | high

Evidence: E04:p2; E11:p1

Review indicator: No substantive disagreement recorded

D058 Classify Damaged stock.

Write off damaged inventory 22000; separate the unexplained 9000 movement/count variance and future disposal 2000.

Review / confidence: Material judgment | high

Evidence: E05:p1-p2; E11:p1

Review indicator: No substantive disagreement recorded

D059 Classify Probable legal claim.

Recognise legal expense and provision 25000; no reporting-date cash payment; range 20000-30000.

Review / confidence: Material judgment | medium

Evidence: E09:p2; E11:p1

Review indicator: No substantive disagreement recorded

D060 Classify Insurance consumed.

Insurance consumed cannot be classified by amount without policy/prepayment evidence; retain unknown instead of zero.

Review / confidence: Operational | low

Evidence: E13:D060; E02:all transactions

D061 Classify Unpaid interest.

Interest payable 2000 is accrued liability; total interest expense 12000 less paid 10000.

Review / confidence: Operational | high

Evidence: E09:p1; E11:p1; E02:INT

D062 Classify Unpaid payroll.

Closing unpaid payroll 32000 = opening 15000 + expense 248000 - paid 231000.

Review / confidence: Operational | high

Evidence: E07:Payroll!A4:E7; E02:PAYROLL

D063 Classify Unpaid suppliers.

Confirmed closing supplier payable 126000, current liability; implied opening 45000 remains unverified.

Review / confidence: Operational | medium

Evidence: E06:p1; E02:supplier rows

D064 Classify Delivered NorthStar contract.

Recognise NorthStar accepted box revenue 180000 on 12 Feb; names are aliases, not additional sales.

Review / confidence: Material judgment | high

Evidence: E04:p1; E03:CRM Export!A4:I4; E02:RCPT-NS

Review indicator: No substantive disagreement recorded

D065 Classify Delivered Freedom contract.

Recognise Freedom delivered revenue 200000 on 18 Mar, including 58000 uncollected; revenue is not limited to 142000 cash.

Review / confidence: Material judgment | high

Evidence: E04:p1; E03:CRM Export!A5:I5; E02:RCPT-FF

Review indicator: No substantive disagreement recorded

D066 Classify Completed Phoenix event.

Recognise completed Phoenix event revenue 100000 on 29 Apr; customer acceptance email corroborates service delivery; receivable 30000.

Review / confidence: Material judgment | high

Evidence: E04:p1; E03:CRM Export!A6:I6; E02:RCPT-PHX

Review indicator: No substantive disagreement recorded

D067 Classify Delivered Liberty order.

Recognise Liberty accepted delivered revenue 120000 on 20 Jun; cash 95000 leaves 25000 receivable.

Review / confidence: Material judgment | high

Evidence: E04:p1; E03:CRM Export!A7:I7; E02:RCPT-LIB

Review indicator: No substantive disagreement recorded

D068 Classify Undelivered September events.

No August revenue for September events; recognise 90000 contract liability until promised services delivered.

Review / confidence: Material judgment | high

Evidence: E04:p2; E03:CRM Export!A10:I11

Review indicator: No substantive disagreement recorded

D069 Classify Loan principal payment.

Principal 19000 is debt reduction and financing cash flow; excluded from P&L.

Review / confidence: Operational | high

Evidence: E02:PRINCIPAL; E09:p1

D070 Classify Equipment purchase.

Equipment purchases total 80000 are PPE additions and investing cash flow; not period expense.

Review / confidence: Operational | high

Evidence: E06:p2; E08:Assets!A5:E6; E02:CAPEX-PACK,CAPEX-PHOTO

Estimation

D071 Estimate Closing bad-debt allowance/write-off and document the basis.

R-17 full loss 18000; no recovery expected. Write off or full allowance produces same net AR 168000; choose write-off with supporting notice.

Review / confidence: Material judgment | high

Evidence: E04:p2; E11:p1

Review indicator: No substantive disagreement recorded

D072 Estimate Damaged inventory write-off and document the basis.

Damaged stock loss 22000 supported by warehouse/later assessment; no value remains. Possible disposal 2000 is separately disclosed pending present-obligation evidence.

Review / confidence: Material judgment | high

Evidence: E05:p1-p2; E11:p1

Review indicator: No substantive disagreement recorded

D073 Estimate Legal provision and document the basis.

Best-estimate legal provision 25000; range 20000-30000 changes profit/liabilities by 5000 each direction; no cash paid.

Review / confidence: Material judgment | medium

Evidence: E09:p2; E11:p1

Review indicator: No substantive disagreement recorded

D074 Estimate Period depreciation and document the basis.

Period depreciation 24000 per independent estimate; opening accumulated 45000 gives closing 69000. Useful lives/method/detail remain missing.

Review / confidence: Material judgment | medium

Evidence: E08:Assets!A4:E8

Review indicator: No substantive disagreement recorded

D075 Estimate Closing inventory and document the basis.

Provisional movement inventory 112000 =80000+459000-405000-22000. Warehouse alternative 121000 =143000-22000. Unexplained 9000 remains; no fictitious adjustment posted. Measurement difference versus count alternative is -9000 profit/assets/equity, with no new posted adjustment; cash and liabilities unchanged.

Review / confidence: Material judgment | low

Evidence: E05:p1-p2; E06:p1

Review indicator: Final override | Low confidence

D076 Estimate Closing receivables and document the basis.

Net closing AR 168000 = gross 186000 - R-17 write-off 18000; opening 35000 assumed fully settled by RCPT-001.

Review / confidence: Operational | medium

Evidence: E03:CRM Export!A4:I9; E02:customer receipts; E04:p2

D077 Estimate Repair versus improvement amount and document the basis.

Restoration repair expense 10000; equipment additions 80000. No capital component is evidenced in R-771.

Review / confidence: Operational | high

Evidence: E06:p2; E08:Assets!A5:E7

D078 Estimate Insurance expense and document the basis.

Insurance expense is unknown; do not turn absent evidence into zero. Known profit 65000 excludes unquantified insurance.

Review / confidence: Operational | low

Evidence: E13:D078; E02:all transactions

D079 Estimate Interest payable and document the basis.

Interest payable 2000 =12000 expense -10000 cash paid, independently bank-confirmed.

Review / confidence: Operational | high

Evidence: E09:p1; E02:INT; E11:p1

D080 Estimate Accrued payroll and document the basis.

Payroll payable 32000 =15000 opening +248000 expense -231000 paid.

Review / confidence: Operational | high

Evidence: E07:Payroll!A7:E7; E02:PAYROLL

D081 Estimate Customer deposit liability and document the basis.

Customer contract liability 90000 =60000 NB-SEP +30000 FF-SEP undelivered.

Review / confidence: Operational | high

Evidence: E04:p2; E02:DEP-NB,DEP-FF2

D082 Estimate PPE closing cost and document the basis.

PPE closing cost 260000 =opening 180000 +60000 machine +20000 booth; repair excluded.

Review / confidence: Operational | high

Evidence: E08:Assets!A4:E7; E06:p2

D083 Estimate Accumulated depreciation and document the basis.

Closing accumulated depreciation 69000 =opening 45000 +period estimate 24000; net PPE 191000.

Review / confidence: Operational | medium

Evidence: E08:Assets!A4:E8

D084 Estimate Supplier payable and document the basis.

Confirmed supplier payable 126000; purchases 459000 less cash 378000 implies opening 45000.

Review / confidence: Operational | medium

Evidence: E06:p1; E02:supplier rows

D085 Estimate Closing loan and document the basis.

Closing loan principal 131000 =100000 opening +50000 new -19000 repaid.

Review / confidence: Operational | high

Evidence: E09:p1; E02:LOAN-ADV,PRINCIPAL; E11:p1

D086 Estimate Physical COGS and document the basis.

Physical product COGS 405000 per valid delivered consumption record; inventory count/movement 9000 variance unresolved.

Review / confidence: Operational | medium

Evidence: E05:p2

D087 Estimate Service direct payroll and document the basis.

Service direct payroll 80000 per event staff role; service cash payroll 75000 is not expense amount.

Review / confidence: Operational | high

Evidence: E07:Payroll!A4:E4

D088 Estimate Owner distributions and document the basis.

Owner distributions 110000 =villa 70000 +owner card 40000; no approved employment bonus evidence.

Review / confidence: Operational | high

Evidence: E09:p1; E02:VILLA,OWNERCARD; E07:Payroll!A8:E8

D089 Estimate Net profit and document the basis.

Known-evidence net profit 65000 before unknown insurance and unresolved inventory correction; legal-estimate range 60000-70000. Final profit remains unconfirmed.

Review / confidence: Operational | low

Evidence: E03:CRM Export!A4:I9; E05:p2; E07:Payroll!A4:E7; E08:Assets!A8:E8; E09:p1-p2; E02:expense rows

D090 Estimate Closing cash and document the basis.

Closing cash 60000, independently confirmed and bank roll-forward matched.

Review / confidence: Operational | high

Evidence: E02:closing balance; E11:p1

Board decision

D091 Approve corrected accounts before valuation

Approve corrected accounts for valuation only after inventory/opening/insurance evidence and student review resolved; reject management 312000 as unsupported.

Review / confidence: Material judgment | medium

Evidence: E01:Management P&L!A3:C11; E05:p1-p2; E13:D034,D060,D078

Review indicator: No substantive disagreement recorded

D092 Freeze owner-card access

Recommend immediately freeze owner-card access and require independent approval/documentation of any distribution.

Review / confidence: Operational | high

Evidence: E09:p1; E10:p2

D093 Move September deposits to contract liabilities

Recommend remove 90000 September deposits from August revenue and maintain contract-liability schedule.

Review / confidence: Operational | high

Evidence: E04:p2; E03:CRM Export!A10:I11

D094 Begin weekly 13-week cash forecast

Recommend weekly 13-week cash forecast with customer/supplier/payroll dates and minimum-cash escalation. Forecast inputs absent; no invented forecasts.

Review / confidence: Operational | medium

Evidence: E02:cash decline; E06:p1

D095 Stop credit sales to insolvent/high-risk customers

Recommend block new unsecured credit to insolvent/high-risk buyers and review aged receivables weekly.

Review / confidence: Operational | high

Evidence: E04:p2; E11:p1

D096 Dispose of damaged stock

Recommend quarantine/dispose of 22000 unsaleable stock after approval, allow estimated 2000 future disposal cash; inspect leaking pipe.

Review / confidence: Operational | high

Evidence: E05:p1-p2; E11:p1

D097 Investigate management override and duplicate sources

Recommend investigate management override, alias/duplicate counting, and unsupported source labels; preserve evidence and approval trail.

Review / confidence: Operational | high

Evidence: E10:p1-p3; E01:READ ME!A4:B6; E03:CRM Export!A4:I11

D098 Renegotiate supplier terms

Recommend negotiate supplier payment terms against confirmed 126000 obligations and achievable cash forecast; no unsupported promise of payment capacity.

Review / confidence: Operational | high

Evidence: E06:p1; E02:closing balance

D099 Continue core Finally Single and event operations

Recommend conditional continuation of core Finally Single and event operations with cash/control restrictions; segment profitability is not separately supplied.

Review / confidence: Operational | medium

Evidence: E03:CRM Export!A4:I9; E07:Payroll!A4:E6; E02:closing balance

D100 Use claimed management profit for earn-out

Do not use claimed management 312000 for earn-out. Defer valuation/payment decision until reconstructed accounts and uncertainties independently reviewed.

Review / confidence: Material judgment | high

Evidence: E01:Management P&L!A8:C8; E10:p1-p3

Review indicator: No substantive disagreement recorded

09 Independent AI review trail

The first proposals and independent challenges were produced from the original evidence before comparison. Final answers below preserve any disagreement and the stated effect basis. Presentation differences in effects do not automatically establish an accounting-treatment disagreement.

Material statement effects describe the isolated journal or stated comparison. Repeated decisions cover the same underlying transactions; their effects must not be added together. Cash is unchanged by a non-cash correction. Profit effects flow to equity unless the item is a distribution.

Exactly25 material judgments are recorded. Each begins on a new page. Unknown future earn-out effects remain unquantified; repeated decisions are not additional journal entries.

D041 Classify September customer deposits.

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

September deposits90,000 are contract liabilities at31 August. Cash rises90,000 without revenue/profit because delivery is future.

Independent original-evidence position

September deposits 90,000 are contract liabilities, no August revenue. Receipt itself raises cash and liabilities by 90,000; correction from recorded sales has no second cash effect.

Final recorded answer and reasoning

Defer September customer deposits 90000 as contract liabilities. August revenue excludes them; cash remains received.

I recognize revenue when the promised goods or service is delivered. Both signed September contracts show future delivery, so the EUR 90,000 cash receipts create contract liabilities. Moving those receipts out of recorded August sales reduces profit and equity by EUR 90,000 without changing cash.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	0	90,000	90,000	90,000	0
Final recorded	(90,000)	0	0	90,000	(90,000)

First basis: Original deposit transaction, not reversal of management revenue

Independent basis: -90,000 /0 /0 /+90,000 /-90,000

Final basis: Correction of deposits already recorded as sales. Cash receipt is already included in the bank.

Evidence: E03:CRM Export!A10:I11; E04:p2; E02:DEP-NB,DEP-FF2

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D042 Classify New bank borrowing.

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

New borrowing50,000 is a bank debt increase and financing inflow; zero revenue/profit.

Independent original-evidence position

New advance 50,000 is repayable bank debt. Reject “strategic income.” Receipt is financing cash.

Final recorded answer and reasoning

Classify new bank advance 50000 as debt and financing inflow; remove it from income.

I rely on the repayment obligation in the bank agreement. The EUR 50,000 advance funds the business but creates debt. Correcting the income label reduces profit and equity by EUR 50,000 and raises liabilities by the same amount; the receipt is already in bank cash.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	0	50,000	50,000	50,000	0
Final recorded	(50,000)	0	0	50,000	(50,000)

First basis: Original loan transaction

Independent basis: -50,000 /0 /0 /+50,000 /-50,000

Final basis: Correction of the loan already recorded as income. Cash receipt is already included in the bank.

Evidence: E02:LOAN-ADV; E09:p1

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D043 Classify Packaging machine.

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

Packaging machine60,000 is PPE from10 May availability. Capitalize purchase; depreciation falls in the separately supplied total24,000 estimate.

Independent original-evidence position

Capitalize packaging machine 60,000; available 10 May. Depreciation separate. Reject repair label. Actual purchase moves cash -60,000 and PPE +60,000.

Final recorded answer and reasoning

Capitalise packaging machine 60000; installed/available 10 May and creates a durable productive resource. Depreciation separately estimated.

I capitalize the EUR 60,000 machine because it creates a durable productive resource and was available for use on 10 May. The repair label is contradicted by invoice A-910. Reversing the erroneous purchase expense raises PPE and profit by EUR 60,000; depreciation is included once in the separate period estimate.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	0	(60,000)	0	0	0
Final recorded	60,000	0	60,000	0	60,000

First basis: Purchase converts cash to PPE; depreciation separate

Independent basis: +60,000 /0 /+60,000 /0 /+60,000 versus expensing

Final basis: Correction of machine acquisition wrongly expensed; purchase cash is already recorded. Depreciation separate.

Evidence: E06:p2; E08:Assets!A5:E5

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D044 Classify Photo booth.

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

Photo booth20,000 is PPE from10 May availability; durable event equipment, not immediate marketing expense. Capitalize; depreciation separately.

Independent original-evidence position

Capitalize photo booth 20,000 as long-lived equipment; marketing use does not turn acquisition into period expense. Depreciation separate.

Final recorded answer and reasoning

Capitalise photo booth 20000, available 10 May; not marketing expense. Depreciation separately estimated.

I capitalize the EUR 20,000 photo booth as equipment available from 10 May. Its use at events does not make the acquisition an immediate marketing expense. The purchase belongs in investing cash flow, and its depreciation belongs in the separate EUR 24,000 total.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	0	(20,000)	0	0	0
Final recorded	20,000	0	20,000	0	20,000

First basis: Purchase converts cash to PPE; depreciation separate

Independent basis: +20,000 /0 /+20,000 /0 /+20,000 versus expensing

Final basis: Correction of booth acquisition wrongly expensed; purchase cash is already recorded. Depreciation separate.

Evidence: E06:p2; E08:Assets!A6:E6

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D045 Classify Machine belt and calibration.

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

Belt, cleaning and calibration10,000 restore normal condition only. Expense repairs; no capacity increase or useful-life extension supports capitalization.

Independent original-evidence position

Expense repair 10,000. Restores normal output, no increased capacity or useful life. Reject capitalization.

Final recorded answer and reasoning

Expense 10000 restoration-only belt/cleaning/calibration; no capacity/life improvement is evidenced.

I expense the EUR 10,000 belt, cleaning and calibration because invoice R-771 says the work only restored normal output. There is no evidenced increase in capacity or useful life. Reversing the incorrect capitalization reduces assets, profit and equity by EUR 10,000 without paying the cash a second time.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	(10,000)	(10,000)	(10,000)	0	(10,000)
Final recorded	(10,000)	0	(10,000)	0	(10,000)

First basis: Repair transaction paid in cash

Independent basis: -10,000 /0 /-10,000 /0 /-10,000

Final basis: Correction of restoration work wrongly capitalized; cash payment is already recorded.

Evidence: E06:p2; E08:Assets!A7:E7

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D046 Classify Owner villa deposit.

Confidence / indicators: medium | No substantive disagreement recorded

First AI proposal

Villa70,000 is owner distribution reducing equity and cash; no expense, company asset or employee bonus.

Independent original-evidence position

Villa 70,000 is owner distribution. No business meeting, personal-name reservation. Do not capitalize a company asset or create an owner receivable without evidence of repayment rights. Reversal of erroneous expense plus distribution increases profit but leaves equity unchanged versus expense.

Final recorded answer and reasoning

Classify personal villa 70000 as owner distribution, not marketing or payroll. Date discrepancy remains disclosed.

I classify the EUR 70,000 villa payment as an owner distribution because the reservation is personal and no customer meeting occurred. Reclassifying an existing expense increases profit but simultaneously records a distribution, leaving total equity unchanged against that erroneous expense basis. The photograph date conflicts with the 2026 bank period, so I retain the bank-backed amount and disclose the date issue.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	0	(70,000)	(70,000)	0	(70,000)
Final recorded	70,000	0	0	0	0

First basis: Original owner distribution

Independent basis: +70,000 /0 /0 /0 /0 versus expensing; underlying distribution: profit0 cash-70,000 assets-70,000 equity-70,000

Final basis: Reclassify villa expense as distribution. Increase profit 70000 and record distribution 70000, leaving total equity unchanged versus the expense basis.

Evidence: E09:p1-p2; E02:VILLA

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D047 Classify Owner card spending.

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

Other owner card spending40,000 is owner distribution. Total110,000 includes villa70,000 and card40,000 once; founder bonus row is a duplicate reclassification, not extra payroll.

Independent original-evidence position

Other owner spending 40,000 distribution absent genuine supported business purpose. Part of the same 110,000 founder bonus label, not additional payroll. Recovery claim would require evidence; no receivable invented.

Final recorded answer and reasoning

Classify other owner-card spending 40000 as distribution; payroll founder bonus 110000 duplicates these withdrawals and is not additional expense.

I treat the other EUR 40,000 owner-card spending as a distribution because no genuine business purpose or approved employment bonus is evidenced. The EUR 110,000 founder bonus row repeats the EUR 70,000 villa and EUR 40,000 card withdrawals; counting it again would overstate expense and cash paid. A recovery receivable would require evidence of repayment rights.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	0	(40,000)	(40,000)	0	(40,000)
Final recorded	40,000	0	0	0	0

First basis: Other owner distribution, excludes villa duplicate

Independent basis: +40,000 /0 /0 /0 /0 versus expensing; underlying distribution: profit0 cash-40,000 assets-40,000 equity-40,000

Final basis: Reclassify other owner expense as distribution. Increase profit 40000 and record distribution 40000, leaving total equity unchanged versus the expense basis.

Evidence: E09:p1; E02:OWNERCARD; E07:Payroll!A8:E8

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D048 Classify Physical product materials consumed.

Confidence / indicators: medium | Final override

First AI proposal

Physical product materials are direct COGS, not purchases expensed on payment. Preferred count-based physical COGS396,000 = opening80,000 + purchases459,000 - saleable closing121,000 - damaged write-off22,000. This conflicts with stated consumed405,000 by9,000; consumption-based alternative implies closing112,000. Mark unresolved; obtain SKU movement/valuation records.

Independent original-evidence position

Physical materials consumed on delivered sales are cost of sales. File states 405,000, but inventory count implies 396,000. Preserve both; do not silently certify a value. My count-led provisional P&L uses396,000 pending correction of the stated405,000.

Final recorded answer and reasoning

Materials consumed 405000 are direct cost of delivered physical products. Purchase 459000 and cash 378000 are separate measures.

I retain the explicit EUR 405,000 consumption on valid delivered sales as the base materials cost. Both agents prefer the count-led EUR 396,000 inference, but that would replace a specifically stated consumption figure without item-level support. I therefore override that preference, use EUR 112,000 closing inventory consistently, and preserve the EUR 9,000 count discrepancy for investigation.

Comparison: Both independent agents prefer the count-led branch. The final certification overrides that preference in favour of the explicitly stated consumption-led branch; the conflicting evidence remains unresolved.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	(396,000)	0	(396,000)	0	(396,000)
Final recorded	(405,000)	0	(405,000)	0	(405,000)

First basis: Inventory consumed to direct COGS; purchases separate; unresolved9000

Independent basis: Classification vs operating-expense presentation: profit0 cash0 assets0 liabilities0 equity0; count-led versus consumption-led: +9,000 /0 /+9,000 /0 /+9,000

Final basis: Recognition of materials consumption before its omission, not the difference against the AI count-led branch. The 9000 comparison appears in D075.

Evidence: E05:p2; E06:p1; E02:supplier rows

Changed from first proposal: Yes

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D049 Classify Event staff payroll.

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

Event delivery staff expense80,000 is service direct payroll/COGS. Cash75,000 differs from expense; classify sales72,000 and office96,000 outside direct cost. No opening15,000 payable split by department is supplied.

Independent original-evidence position

Event staff 80,000 are direct service cost. Payroll cash75,000 is not the period expense; do not use commercial payroll in COGS. Reclassifying from admin lowers gross margin80,000 but leaves net profit unchanged.

Final recorded answer and reasoning

Event delivery payroll 80000 belongs in service COGS; sales/office payroll remain operating expenses. Total profit unchanged by this presentation reclassification.

I place EUR 80,000 event-delivery payroll in service cost of sales because the staff directly fulfil paid events. Sales payroll and office payroll support the wider business and remain operating expenses. Moving the already recognized event cost from administration to COGS reduces gross profit by EUR 80,000 but leaves net profit, cash and the balance sheet unchanged.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	(80,000)	(75,000)	(75,000)	5,000	(80,000)
Final recorded	0	0	0	0	0

First basis: Period department expense minus period cash; opening payroll allocation unknown

Independent basis: 0 /0 /0 /0 /0 for category correction

Final basis: Presentation reclassification of event payroll from administration to COGS; gross profit falls 80000, net profit unchanged.

Evidence: E07:Payroll!A4:E6

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D056 Classify Depreciation.

Confidence / indicators: medium | No substantive disagreement recorded

First AI proposal

Depreciation24,000 is noncash operating expense and increase in accumulated depreciation; reduce net PPE/equity. Adopt supplied independent schedule estimate provisionally because useful lives/method detail is absent.

Independent original-evidence position

Recognize non-cash depreciation24,000 provisionally. Useful-life/method/asset-level breakdown is missing. Show operating expense separately since functional allocation is not evidenced.

Final recorded answer and reasoning

Recognise noncash period depreciation 24000 from supplied independent estimate; precise method/useful-life schedule absent.

I recognize the supplied EUR 24,000 period depreciation estimate as a non-cash operating expense and an increase in accumulated depreciation. The source does not supply asset-level lives or methods, so I cannot claim an independent recomputation. Functional allocation to products is also absent, so I show depreciation separately.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	(24,000)	0	(24,000)	0	(24,000)
Final recorded	(24,000)	0	(24,000)	0	(24,000)

First basis: Period depreciation entry

Independent basis: -24,000 /0 /-24,000 /0 /-24,000 versus omission

Final basis: Recognition of the stated non-cash charge relative to its omission. Repeated classification/measurement decisions describe the same entry.

Evidence: E08:Assets!A8:E8; E12:p1

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D057 Classify Bad receivable.

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

Bad receivable18,000 is credit loss, not reduction of delivered revenue: charge impairment expense and reduce net AR.

Independent original-evidence position

Impair/write off R-17 balance18,000; no recovery. This is credit loss, not a sales return, because liquidation concerns collectability of delivered sales. September evidence adjusts August.

Final recorded answer and reasoning

Recognise bad-receivable expense/write-off 18000; reduce receivable, not cash or revenue.

I recognize the EUR 18,000 R-17 credit loss because liquidation prevents recovery of an existing delivered-sale balance. It reduces receivables, profit and equity, not earned revenue or cash. The September notice confirms a condition already present on 31 August and is therefore relevant to the reporting-date measurement.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	(18,000)	0	(18,000)	0	(18,000)
Final recorded	(18,000)	0	(18,000)	0	(18,000)

First basis: Receivable impairment entry

Independent basis: -18,000 /0 /-18,000 /0 /-18,000

Final basis: Recognition of the stated non-cash charge relative to its omission. Repeated classification/measurement decisions describe the same entry.

Evidence: E04:p2; E11:p1

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D058 Classify Damaged stock.

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

Unsaleable damaged inventory22,000 is separate noncash write-off expense and reduction of inventory, not intact saleable stock. No present obligation to pay disposal2,000 is evidenced, so disclose future cash cost separately rather than book a provision.

Independent original-evidence position

Damaged stock22,000 has zero saleable value, despite physical existence. Recognize write-off separately. Disposal quote2,000 is distinct and no present obligation is established; baseline excludes provision.

Final recorded answer and reasoning

Write off damaged inventory 22000; separate the unexplained 9000 movement/count variance and future disposal 2000.

I write the EUR 22,000 damaged stock down to zero because warehouse and external evidence show that it cannot be sold. Its physical presence does not establish recoverable value. The separate EUR 2,000 disposal quote is a future cash estimate; no present legal or constructive obligation is established for an additional provision.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	(22,000)	0	(22,000)	0	(22,000)
Final recorded	(22,000)	0	(22,000)	0	(22,000)

First basis: Inventory write-off entry; no disposal liability assumed

Independent basis: -22,000 /0 /-22,000 /0 /-22,000; possible disposal provision adds-2,000 profit,+2,000 liabilities,-2,000 equity

Final basis: Recognition of the stated non-cash charge relative to its omission. Repeated classification/measurement decisions describe the same entry.

Evidence: E05:p1-p2; E11:p1

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D059 Classify Probable legal claim.

Confidence / indicators: medium | No substantive disagreement recorded

First AI proposal

Probable legal claim25,000 is operating legal expense and provision liability at31 August; range20,000-30,000.

Independent original-evidence position

Employee past-event obligation is probable and estimated: provision25,000. No cash paid. Disclose20,000-30,000 range; do not substitute zero or choose lower endpoint without basis.

Final recorded answer and reasoning

Recognise legal expense and provision 25000; no reporting-date cash payment; range 20000-30000.

I recognize a EUR 25,000 legal provision because counsel identifies a probable obligation from a past employee claim and gives a best estimate. No cash payment occurred by 31 August. The EUR 20,000-EUR 30,000 range is measurement uncertainty and does not justify omitting the claim.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	(25,000)	0	0	25,000	(25,000)
Final recorded	(25,000)	0	0	25,000	(25,000)

First basis: Legal provision entry

Independent basis: -25,000 /0 /0 /+25,000 /-25,000

Final basis: Recognition of the stated non-cash charge relative to its omission. Repeated classification/measurement decisions describe the same entry.

Evidence: E09:p2; E11:p1

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D064 Classify Delivered NorthStar contract.

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

NorthStar accepted12 February: recognize180,000 product revenue and180,000 collection, closingAR0. Spelling variants are one customer/invoice.

Independent original-evidence position

NorthStar accepted goods12Feb: recognize180,000 delivered revenue, cash matched180,000, no closing AR. Alias differences do not create duplicate sales.

Final recorded answer and reasoning

Recognise NorthStar accepted box revenue 180000 on 12 Feb; names are aliases, not additional sales.

I recognize one EUR 180,000 NorthStar sale when the goods were accepted on 12 February. The customer spelling variants refer to the same invoice and bank receipt, so I do not count additional sales. The whole amount was collected, leaving no closing receivable for this invoice.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	180,000	180,000	180,000	0	180,000
Final recorded	180,000	180,000	180,000	0	180,000

First basis: Delivered revenue and cash together, direct costs excluded

Independent basis: Recognition relative to no sale: +180,000 /+180,000 /+180,000 /0 /+180,000 before related costs; reclassification of already-recorded valid sales has0 correction

Final basis: Full delivered-sale and collection transaction relative to no transaction, direct costs excluded.

Evidence: E04:p1; E03:CRM Export!A4:I4; E02:RCPT-NS

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D065 Classify Delivered Freedom contract.

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

Freedom accepted18 March: recognize200,000 product revenue, collect142,000, gross closingAR58,000. No evidence supports impairment of this balance merely because unpaid.

Independent original-evidence position

Freedom accepted18Mar: full200,000 revenue,142,000 cash,58,000 AR. Partial collection does not limit revenue to142,000. No specific additional loss established.

Final recorded answer and reasoning

Recognise Freedom delivered revenue 200000 on 18 Mar, including 58000 uncollected; revenue is not limited to 142000 cash.

I recognize EUR 200,000 revenue for the accepted Freedom goods on 18 March even though only EUR 142,000 was collected. The remaining EUR 58,000 is a receivable, with no specific additional loss evidence supplied. Limiting revenue to the bank receipt would confuse performance with collection.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	200,000	142,000	200,000	0	200,000
Final recorded	200,000	142,000	200,000	0	200,000

First basis: Delivered revenue/collection together, direct costs excluded

Independent basis: Relative to cash-only revenue: +58,000 /0 /+58,000 /0 /+58,000

Final basis: Full delivered-sale and collection transaction relative to no transaction, direct costs excluded.

Evidence: E04:p1; E03:CRM Export!A5:I5; E02:RCPT-FF

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D066 Classify Completed Phoenix event.

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

Phoenix completed29 April: recognize100,000 event/service revenue, collect70,000, closeAR30,000. Customer acceptance supports completion.

Independent original-evidence position

Phoenix event completed29Apr:100,000 revenue,70,000 collected,30,000 AR. Customer email acceptance plus CRM/date/invoice supports performance; naming inconsistency reconciled.

Final recorded answer and reasoning

Recognise completed Phoenix event revenue 100000 on 29 Apr; customer acceptance email corroborates service delivery; receivable 30000.

I recognize EUR 100,000 Phoenix service revenue because the event was completed on 29 April and the customer acceptance corroborates delivery. The EUR 70,000 receipt leaves EUR 30,000 receivable. I match the Phoenix HR and People names to the one invoice rather than duplicating the contract.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	100,000	70,000	100,000	0	100,000
Final recorded	100,000	70,000	100,000	0	100,000

First basis: Delivered revenue/collection together, direct costs excluded

Independent basis: Relative to cash-only revenue: +30,000 /0 /+30,000 /0 /+30,000

Final basis: Full delivered-sale and collection transaction relative to no transaction, direct costs excluded.

Evidence: E04:p1; E03:CRM Export!A6:I6; E02:RCPT-PHX

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D067 Classify Delivered Liberty order.

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

Liberty delivered20 June and accepted in full: recognize120,000 mixed product revenue, collect95,000, closeAR25,000. No supported return deduction.

Independent original-evidence position

Liberty delivered20Jun and accepted:120,000 revenue,95,000 cash,25,000 AR. Product mix allocation unavailable.

Final recorded answer and reasoning

Recognise Liberty accepted delivered revenue 120000 on 20 Jun; cash 95000 leaves 25000 receivable.

I recognize the full EUR 120,000 Liberty order because delivery and full acceptance occurred on 20 June. The EUR 95,000 collection leaves EUR 25,000 receivable. There is no supported return deduction, and the supplied product mix does not permit a finer revenue allocation.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	120,000	95,000	120,000	0	120,000
Final recorded	120,000	95,000	120,000	0	120,000

First basis: Delivered revenue/collection together, direct costs excluded

Independent basis: Relative to cash-only revenue: +25,000 /0 /+25,000 /0 /+25,000

Final basis: Full delivered-sale and collection transaction relative to no transaction, direct costs excluded.

Evidence: E04:p1; E03:CRM Export!A7:I7; E02:RCPT-LIB

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D068 Classify Undelivered September events.

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

Undelivered September events earn zero August revenue. New Beginnings60,000 + Fresh Freedom30,000 received are contract liabilities90,000 until delivered; no additional future invoice receivable is recognized.

Independent original-evidence position

Neither September event delivered by31Aug: zero period revenue;90,000 deposits. Same entry asD041, not another90,000 adjustment.

Final recorded answer and reasoning

No August revenue for September events; recognise 90000 contract liability until promised services delivered.

I recognize zero August revenue for the two September events. The EUR 90,000 cash is a liability until the services are performed; it is the same deposit entry covered in D041 and is not a second adjustment. I do not create a further September invoice receivable without evidence.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	0	90,000	90,000	90,000	0
Final recorded	(90,000)	0	0	90,000	(90,000)

First basis: Original deposits; duplicate exposure ofD041, never sum

Independent basis: -90,000 /0 /0 /+90,000 /-90,000 versus August-sales treatment

Final basis: Same deposit correction as D041; do not add duplicate effects.

Evidence: E04:p2; E03:CRM Export!A10:I11

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D071 Estimate Closing bad-debt allowance/write-off and document the basis.

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

Recognize full18,000 R-17 bad-debt allowance or write-off. Liquidator expects no recovery and confirms reporting-date condition. Other gross AR168,000 has no specific loss evidence; broader collectability remains unverified.

Independent original-evidence position

R-17 allowance/write-off18,000; grossAR186,000, netAR168,000 under opening-AR assumption. Specific loss fully supported; broader expected-loss estimate cannot be quantified from evidence. Same entry asD057.

Final recorded answer and reasoning

R-17 full loss 18000; no recovery expected. Write off or full allowance produces same net AR 168000; choose write-off with supporting notice.

I measure the R-17 loss at the full EUR 18,000 because the liquidator expects no distribution. A full allowance or a write-off gives the same EUR 168,000 net receivables; I select the write-off supported by the notice. This repeats D057, and the two decision effects must not be added.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	(18,000)	0	(18,000)	0	(18,000)
Final recorded	(18,000)	0	(18,000)	0	(18,000)

First basis: Same impairment asD057; never sum duplicate decision

Independent basis: -18,000 /0 /-18,000 /0 /-18,000

Final basis: Recognition of the stated non-cash charge relative to its omission. Repeated classification/measurement decisions describe the same entry.

Evidence: E04:p2; E11:p1

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D072 Estimate Damaged inventory write-off and document the basis.

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

Full damaged-stock carrying value22,000 is written off because saleable value0. Disposal quote2,000 is a separate future cash estimate; no legal/contractual commitment is evidenced to establish an additional present liability.

Independent original-evidence position

Write down damaged carrying value22,000 tozero. Quote2,000 does not alter22,000 carrying value; it is separate future disposal cost. Same entry asD058.

Final recorded answer and reasoning

Damaged stock loss 22000 supported by warehouse/later assessment; no value remains. Possible disposal 2000 is separately disclosed pending present-obligation evidence.

I measure the damaged-stock loss at its EUR 22,000 carrying value and zero saleable value. I keep the EUR 2,000 disposal quote separate so that neither the write-off nor any later disposal cost is counted twice. This is the same stock write-down described in D058.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	(22,000)	0	(22,000)	0	(22,000)
Final recorded	(22,000)	0	(22,000)	0	(22,000)

First basis: Same write-off asD058; never sum duplicate decision

Independent basis: -22,000 /0 /-22,000 /0 /-22,000

Final basis: Recognition of the stated non-cash charge relative to its omission. Repeated classification/measurement decisions describe the same entry.

Evidence: E05:p1-p2; E11:p1

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D073 Estimate Legal provision and document the basis.

Confidence / indicators: medium | No substantive disagreement recorded

First AI proposal

Provision25,000 is lawyer best estimate for probable former employee claim; use20,000-30,000 sensitivity, not zero and not arbitrary midpoint without reference to best estimate.

Independent original-evidence position

Best-estimate legal provision25,000, sensitivity20,000-30,000. Lower endpoint raisesprofit/equity5,000 and lowersliabilities5,000; upper doesreverse. Same entry asD059.

Final recorded answer and reasoning

Best-estimate legal provision 25000; range 20000-30000 changes profit/liabilities by 5000 each direction; no cash paid.

I use counsel's EUR 25,000 best estimate rather than choosing a favourable endpoint. A EUR 20,000 outcome raises profit and equity by EUR 5,000 and reduces the provision by EUR 5,000; EUR 30,000 reverses those changes. This is the same legal entry as D059.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	(25,000)	0	0	25,000	(25,000)
Final recorded	(25,000)	0	0	25,000	(25,000)

First basis: Same legal entry asD059; never sum duplicate decision

Independent basis: -25,000 /0 /0 /+25,000 /-25,000

Final basis: Recognition of the stated non-cash charge relative to its omission. Repeated classification/measurement decisions describe the same entry.

Evidence: E09:p2; E11:p1

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D074 Estimate Period depreciation and document the basis.

Confidence / indicators: medium | No substantive disagreement recorded

First AI proposal

Period depreciation24,000 from supplied independent estimate; closing accumulated depreciation45,000 +24,000 =69,000. Useful-life/method schedule is absent, so independently recomputing this estimate is not possible.

Independent original-evidence position

Adopt supplied24,000 depreciation estimate pending independent schedule. Cannot derive plausible lives and then claim independently verified24,000. Accumulated69,000/netPPE191,000 conditional. Same entry asD056.

Final recorded answer and reasoning

Period depreciation 24000 per independent estimate; opening accumulated 45000 gives closing 69000. Useful lives/method/detail remain missing.

I adopt EUR 24,000 depreciation as the supplied independent estimate, with medium confidence pending the missing detailed schedule. Opening accumulated depreciation EUR 45,000 plus this charge gives EUR 69,000 closing accumulated depreciation and EUR 191,000 net PPE. I do not invent useful lives to manufacture apparent verification.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	(24,000)	0	(24,000)	0	(24,000)
Final recorded	(24,000)	0	(24,000)	0	(24,000)

First basis: Same depreciation asD056; never sum duplicate decision

Independent basis: -24,000 /0 /-24,000 /0 /-24,000

Final basis: Recognition of the stated non-cash charge relative to its omission. Repeated classification/measurement decisions describe the same entry.

Evidence: E08:Assets!A4:E8

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D075 Estimate Closing inventory and document the basis.

Confidence / indicators: low | Final override | Low confidence

First AI proposal

Prefer physically counted saleable inventory121,000 = Finally Single79,000 + Never Call Back42,000, exclude22,000 damaged stock. Inventory roll-forward at this value yields physical COGS396,000,9,000 below stated405,000. Alternative consuming405,000 yields inventory112,000. Neither is fully certifiable until9,000 inconsistency is resolved.

Independent original-evidence position

Provisional closing inventory121,000 fromcount79,000+42,000, damagezero. This implies396,000COGS, contradicting stated405,000. Alternative112,000 usesconsumption-ledrollforward. Hold certification pending9,000 investigation.

Final recorded answer and reasoning

Provisional movement inventory 112000 =80000+459000-405000-22000. Warehouse alternative 121000 =143000-22000. Unexplained 9000 remains; no fictitious adjustment posted. Measurement difference versus count alternative is -9000 profit/assets/equity, with no new posted adjustment; cash and liabilities unchanged.

I choose the internally consistent consumption-led base: EUR 80,000 opening inventory plus EUR 459,000 received purchases less EUR 405,000 consumed and EUR 22,000 damage equals EUR 112,000. Both agents instead prefer counted saleable inventory EUR 121,000, implying consumption EUR 396,000. I override that preference because the EUR 405,000 valid-sale consumption is explicit, while disclosing the EUR 9,000 difference. Neither branch removes the need for item-level reconciliation.

Comparison: Both independent agents prefer the count-led branch. The final certification overrides that preference in favour of the explicitly stated consumption-led branch; the conflicting evidence remains unresolved.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	9,000	0	9,000	0	9,000
Final recorded	(9,000)	0	(9,000)	0	(9,000)

First basis: Preferred count-based estimate compared with consumption-based112000inventory/405000COGS

Independent basis: Count-led versus consumption-led: +9,000 /0 /+9,000 /0 /+9,000. Versus system143,000: damage correction-22,000 profit/assets/equity, sameD072

Final basis: Final consumption-led branch compared with the count-led branch; profit/assets/equity 9000 lower. No independent balancing journal is invented.

Evidence: E05:p1-p2; E06:p1

Changed from first proposal: Yes

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D091 Approve corrected accounts before valuation

Confidence / indicators: medium | No substantive disagreement recorded

First AI proposal

Approve use of an explicitly conditional reconstruction for diligence, but withhold unqualified final-account certification/valuation until inventory9,000 conflict, opening balances, missing insurance, detailed depreciation and debt maturity are resolved. Reject management312,000 profit; preferred evidenced reconstruction74,000, alternative65,000, cash60,000.

Independent original-evidence position

Approve clear supported corrections for use as provisional management accounts; withhold unqualified final accounts/valuation certification until9,000 inventory difference, insurance, opening balances and depreciation support are resolved. Balanced conditional numbers alone do not establish truth.

Final recorded answer and reasoning

Approve corrected accounts for valuation only after inventory/opening/insurance evidence and student review resolved; reject management 312000 as unsupported.

I approve the supported corrections as conditional management accounts for diligence. I withhold unconditional approval for valuation because inventory, opening balances, insurance, depreciation detail and loan maturity remain unresolved. A balanced base alone does not prove that all assets and obligations are complete.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	0	0	0	0	0
Final recorded	0	0	0	0	0

First basis: Prospective approval policy itself creates no accounting entry

Independent basis: No new accounting entry;0 /0 /0 /0 /0. Conditional profit65,000-74,000 at legalbestestimate before unknowninsurance

Final basis: Approval policy creates no current accounting journal.

Evidence: E01:Management P&L!A3:C11; E05:p1-p2; E13:D034,D060,D078

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

D100 Use claimed management profit for earn-out

Confidence / indicators: high | No substantive disagreement recorded

First AI proposal

Reject claimed management profit312,000 for earn-out. Use only contractually defined, reviewed corrected earnings after evidence gaps resolved. Preferred conditional profit74,000 is238,000 lower; consumption alternative65,000 is247,000 lower. Valuation/earn-out cash cannot be quantified without terms.

Independent original-evidence position

Reject312,000 management profit for earn-out. Use only agreed/certified corrected basis after unresolvedschedules are settled; conditional reconstructed profit65,000-74,000 is238,000-247,000belowclaim. Do not inventearn-outformula or contractterms.

Final recorded answer and reasoning

Do not use claimed management 312000 for earn-out. Defer valuation/payment decision until reconstructed accounts and uncertainties independently reviewed.

I reject management's EUR 312,000 claimed profit for the earn-out. The consumption-led known-evidence result is EUR 65,000, EUR 247,000 lower, before missing insurance. I cannot calculate an earn-out payment without the contractual formula and confirmed earnings, so this decision authorizes no payment.

Comparison: Both independent agents agree on the treatment. The final certification follows that treatment.

Isolated financial effect - EUR

Effect basis	Profit	Cash	Assets	Liabilities	Equity
First proposal	Not determined	Not determined	Not determined	Not determined	Not determined
Final recorded	0	0	0	0	0

First basis: Earn-out amount/terms absent; reject312000 and show corrected-profit difference separately

Independent basis: No new accounting entry;0 /0 /0 /0 /0

Final basis: Rejecting the unsupported earn-out basis creates no current accounting journal. Payment amount cannot be quantified without contract terms.

Evidence: E01:Management P&L!A8:C8; E10:p1-p3

Changed from first proposal: No

Recorded certification: certified | Elina Abdulmuslimova | 2026-10-10

10 Reproducibility and report provenance

This report renders the completed root submission.json. Financial schedules, decisions and AI positions are read from that same structured data rather than retyped into an unrelated report. The original source evidence is retained with the application.

Input SHA-256: 978e7ff85be2dc0243b6d7e295f417425455435c478a4e8b883cddb5ec5291c9

Input file: submission.json

Report content: 100 unique decisions; 25 material trails; all supplied schedules; three statements; reconciliations; uncertainty; board recommendation.

GitHub repository: https://github.com/sienasiena2005-dev/management-accounting-homework

Written verification preparation: verification-answers.md

These preparation answers were produced with AI. The separate course verification must be completed without AI.